Innovation at Uber: The Launch of Express POOL

Team: Medin, Luke, Blenda, Pedzi & Esmeralda

Quinnipiac University

MBA645: Marketing Decision Making

Professor: Abhik Roy

October 06, 2025

Introduction Summary

Uber launched Express POOL in 2018 as part of its effort to improve the profitability of shared rides by reducing costs while maintaining rider adoption. Unlike Uber POOL, Express POOL requires customers to walk short distances to designated pick-up points and wait up to two minutes before being matched with a driver. Early tests in Boston and San Francisco revealed the trade-offs between lowering costs and sustaining rider satisfaction, as longer wait times reduced expenses but also raised cancellation rates. Uber's leadership team now faced a strategic decision: whether to prioritize efficiency gains or protect the rider's experience, all while collecting clean data to guide the product's future development.

Positioning Choice

In essence Express rides operate in this manner: you get Uber prices, but are required to do a bit of walking as well as spend some time waiting. However, it's Uber, so it's safe and you can have confidence in it, just like typical Uber or POOL. What makes it different? You get picked up and dropped off at specific locations. You might wait a little longer, but the price is lower because you are compromising on some convenience. Now, It's essential for Uber to ensure those pickup spots are safe and easy to find, that the estimated wait times are accurate, and that all users understand they are cutting costs.

Recommendation

Continue the five-week freeze. Make sure the 12-city study goes seamlessly. Right after the freeze, make alterations in the six experimental locations. Switch between 5-minute waits and adjust prices and messages to mitigate service cancellations. Continue performing user-level A/B tests and try different approaches in alternate locations. This way, we are still able to identify the root causes whilst simultaneously obtaining the cost savings in a timely manner.

Problem Definition

Primary issue

The main issue Uber faced with Express POOL was figuring out how to find the right balance between operational efficiency and rider satisfaction. The whole idea of the product was to cut costs by having people walk to certain pick-up points and wait before being matched, which helped Uber fill more seats per car and lower the price per trip. On paper, this looked like a smart way to make shared rides finally profitable. It raised a tough question: how much inconvenience would riders actually tolerate? Early tests showed that pushing wait times from two minutes to five saved money, yet it also caused more cancellations and risked driving riders away. In a market where competitors like Lyft offered plenty of alternatives, Uber couldn't afford to lose customers over a few minutes of waiting. So, the company was stuck in a situation; if they leaned too far toward efficiency, they might alienate riders, but if they prioritized convenience, the economics of Express POOL might not work.

Secondary Issue

A secondary issue for Uber was how to run clean experiments while making changes to the product. Express POOL relied heavily on data, but altering wait times too quickly risked ruining the results and leaving the team without clear insights. There were also challenges with internal alignment, since product managers wanted efficiency, while others pushed for customer experience or technical stability. On top of that, outside factors like weather, city layout, and pricing made adoption unpredictable. These issues created added risk that Express POOL could fall into the same struggles that hurt Uber POOL.

Competitive Frame, Value Proposition and Brand Positioning

Uber introduced Express POOL into a crowded urban mobility landscape where affordability, convenience, and reliability shape user expectations. Competing directly with Lyft, Via, and other ride-hailing services and indirectly with public transportation and micro-mobility options, Uber positioned Express POOL as a smart, low-cost solution bridging the gap between mass transit and private rides. Its value proposition centered on enabling riders to access lower fares in exchange for minimal inconvenience, such as short walks to designated pickup points and brief wait times. This design not only improved operational efficiency through better vehicle utilization but also aligned with Uber's broader brand identity as an innovative, data-driven mobility leader. Through consistent safety standards, app reliability, and transparent pricing, Uber reinforced its credibility while differentiating itself through scale, smart routing, and the flexibility of an integrated platform. These factors collectively underscored Uber's effort to balance price leadership with brand trust, appealing to cost-conscious riders without eroding its reputation for quality and dependability.

Alternative Strategies

At the March 2018 decision point, Uber faced a key strategic choice between accelerating efficiency gains or preserving user experience. To navigate this trade-off, three main alternatives emerged. A gradual rollout of the 5-minute wait time would protect the validity of launch experiments while refining product-market fit; a segmented implementation would tailor wait times to specific city conditions, ensuring local relevance; and a dual-tier model would empower riders with choice, balancing convenience and cost. Among these, a hybrid approach combining gradual rollout with segmentation offered the most sustainable path. It allowed Uber to scale responsibly, learn from real-world conditions, and maintain rider satisfaction while pursuing long-term cost efficiencies. Ultimately, this strategy aligned with Uber's core promise of delivering smart, affordable, and accessible transportation, reinforcing its leadership in innovation and customer-centered mobility.

Quantitative Support

Boston switchback results (Average 5 minutes vs Average 2 minute windows):
- Cost per trip to Uber: $7.00 vs $7.36; Delta = -$0.36 (t approximately -3.46, p approximately

0.001) -> which is a significant reduction.
- Match rate: 0.62 vs 0.66; Delta = -0.04 (t approximately -2.52, p approximately 0.013) -> which is a significant decline.
- Double-match rate: 0.35 vs 0.32; Delta = +0.03 (t approximately 2.48, p approximately 0.014) -> which is a significant increase.
- Riders' cancellations: 190 vs 165; Delta = +25 (t approximately 2.76, p approximately 0.007) -> which is a significant increase.
- Mix: Express trips down while POOL trips up, suggesting within-portfolio substitution.

Basically, going to 5-minute windows saves us money per trip and gets more people into double matches. But the match rate goes down, and more people cancel. We'll have to watch this closely with pricing. So, if we got rid of the freeze right away, we could save about $1.6 million (based on test window numbers: $0.36 savings per trip, 3,880 rides per 160-minute period, 9 periods/day, 21 days left in freeze, and 6 cities being tested). Even though there is a decent economic opportunity in the near future, the lower match rate and more cancellations are statistically important, so it is imperative that we preserve a clean experimental read and design mitigation (such as pricing, messaging, corner quality) before scaling. Now what kind of experiment would make sense now? We would recommend leaving the city-level synthetic control as is to accurately finish the Launch read (moratorium protects the read). Once the freeze is over, use switchbacks in the six test cities to adjust the wait-time parameter (causal, operational). At the same time, we constantly run user-level A/B tests to improve the UI, messaging, and price prompts (fast, low-risk). This way, we learn the most and get the best results.

Recommendation

Based on the results of the Boston and six-city experiments, Uber should not immediately implement a universal five-minute wait across all treatment cities. The t-tests confirm that while cost per trip fell significantly (from $7.36 to $7.00, saving $0.36 per ride), rider friction increased: cancellations rose by roughly 15% and match rates dropped by about four percentage points. At scale, these trade-offs threaten long-term adoption if rolled out uniformly. Thus, Stock should pursue a hybrid approach that combines gradual rollout with segmented implementation, supported by optionality through a dual-tier model. A gradual rollout is critical to preserve clean data and protect the validity of Uber's 12-city experiment. Freezing systemwide changes until the five-week test concludes ensures statistically reliable evidence. Only after those results are complete should Uber begin to phase in five-minute waits in select markets.

Segmentation offers the most practical balance between efficiency and rider satisfaction. Using clear quantitative thresholds such as limiting rollout to markets where cancellations increase by no more than 10% and match-rate decline stays under five percentage points ensures Uber captures savings where tolerance is higher without eroding adoption in sensitive cities. In

markets resembling Boston, where cancellations spiked beyond these thresholds, Uber should hold wait times at two minutes or test intermediate levels (e.g., three minutes) before expansion. Finally, a dual-tier model provides flexibility. Riders who are highly price-sensitive could opt into Express POOL with longer waits and lower fares, while others could choose a slightly higher-priced version with shorter waits. This structure preserves affordability for those who value savings most, while protecting the rider experience for convenience-oriented users.

Taken together, these steps allow Uber to responsibly scale Express POOL while sustaining the long-term customer loyalty essential to profitability. Stock should therefore increase wait times in treatment cities only after the five-week freeze concludes, and even then, implement them selectively using segmentation criteria and rider choice mechanisms. This path maintains the integrity of the experiment, captures meaningful cost savings (up to $0.26 net per trip after small incentives), and prevents the rider attrition risks shown in the initial tests.

The "Trips Needed to Save $1M" column(**Appendix C**) translates per-trip savings into a strategic benchmark for Uber's leadership. At the observed $0.36 saving per ride, Uber would need roughly 2.78 million Express POOL trips to generate $1 million in cost savings. With a $0.10 incentive, net savings fall to $0.26 per trip, requiring approximately 3.85 million rides to achieve the same $1 million benefit. These thresholds allow decision-makers to evaluate whether specific cities or regions, given their monthly Express POOL volumes, can realistically deliver meaningful financial impact while maintaining rider satisfaction. This link between micro-level efficiency and macro-level profitability makes the recommendation both actionable and measurable.

Implementation Plan of Recommendation

What:
The implementation focuses on rolling out Uber's Express POOL product. This service requires customers to walk short distances to predetermined "corner" pick up and drop off points and wait up to two minutes before being matched. The purpose is to reduce operating costs, increase efficiency in ride matching, and provide a cheaper ride option for price-sensitive customers.

Where:
The initial launch targeted competitive, urban, and dense U.S. cities like Boston, San Francisco, Los Angeles, and Miami. These areas have high ride demand, large populations of price-sensitive users (such as students), and the infrastructure to support designated pick up and drop off corners

Who:

- **Rider team**: responsible for the customer-facing app and communications.
- **Driver team**: ensuring drivers understand the slight modifications in ride pick-ups.
- **Marketplace team**: monitoring pricing models and balancing supply-demand.

- **City operations teams**: adapting local pick-up corners and providing feedback.
- **Data scientists and engineers**: building and refining the JIT (Just-in-Time) algorithm that batches requests.
- **Product managers**: coordinating across verticals to balance efficiency with rider experience.

When:
The process began in 2017 with simulations and pilots in Boston and San Francisco. A broader 12-city synthetic control experiment was launched in February 2018, with a five-week freeze for clean data collection. Wider implementation would occur after analyzing pilot outcomes and refining wait-time parameters

How:
Uber employed a phased approach:

1. **Simulations and "trip parties"** to test parameters like wait and walk times.
2. **Pilot launches** in select neighborhoods to gather real-world rider and driver feedback.
3. **Synthetic control experiments** in 12 cities to compare treatment and control groups.
4. **Data-driven decisions** on wait-time adjustments, pricing sensitivity, and cancellation risks.
5. **Iterative refinements** to improve user experience and maximize seat utilization

Risk and Metrics

The launch of Express POOL carried several risks that Uber needed to carefully manage. From a rider experience perspective, longer wait times or inconvenient walking distances could increase cancellations, particularly in cities with harsh weather or safety concerns. This makes metrics such as opt-in rates, cancellation rates, and rider satisfaction scores essential to track. On the governance side, overriding testing protocols or altering wait times mid experiment risked undermining the reliability of collected data, which could lead to flawed decision making. Driver experience also posed challenges, such as detours, difficult pick up points, or delays might cause frustration and poor reviews despite being beyond the driver's control; monitoring driver acceptance rates and earnings was therefore crucial. Finally, the external interface brought reputational and regulatory risks. Riders accustomed to Uber's door-to-door model might perceive Express as less convenient, giving competitors like Lyft an advantage, while regulators could raise concerns about the safety of designated walking pick up points. To mitigate these risks, Uber relied on careful experimentation, consistent data analysis, and ongoing feedback from both riders and drivers.

Appendix A. Selected Statistics & Calculations

Switchback (Average 5 minutes vs Average 2 minutes):

- Cost per trip: $7.00 vs $7.36 -> Delta = -$0.36 (t approximately -3.46, p approximately 0.001)

- Match rate: 0.62 vs 0.66 -> Delta = -0.04 (t approximately -2.52, p approximately 0.013)

- Double-match rate: 0.35 vs 0.32 -> Delta = +0.03 (t approximately 2.48, p approximately 0.014)

- Rider cancellations: 190 vs 165 -> Delta = +25 (t approximately 2.76, p approximately 0.007)

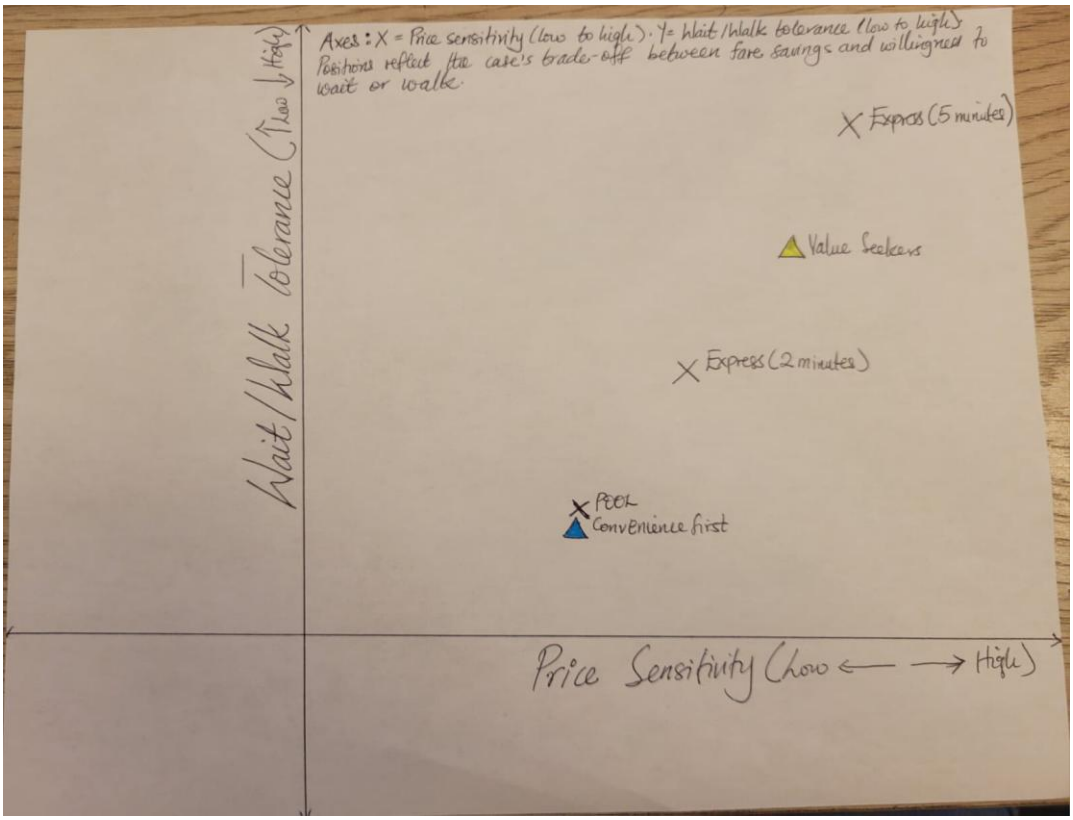
- Mix: Express trips down; POOL trips up (shared mix shifts within portfolio)

Back-of-the-envelope savings if overridden immediately (remaining freeze window):

Inputs: $0.36 per-trip savings; 3,880 trips per 160-minute period; 9 periods/day; 21 days; 6 cities.

Calculation: 0.36 * 3,880 * 9 * 21 * 6 = $1,583,971 which is approximately $1.6M.

Appendix B: Perceptual Map



Appendix C: Quantitative Support for Recommendations, Trips Needed to Save $1M

This appendix shows how the observed $0.36 per-trip saving from the 5-minute wait erodes to $0.26 after a $0.10 incentive but still scales to meaningful savings at volume, provided cancellation increases can be reduced below ~10% and match rate partially recovered through UX improvements.

Scenario	Cost per Trip ($)	Gross Saving vs Baseline ($)	Cancellation Change	Match Rate	Trips Needed to Save $1M
Baseline (2-min wait)	7.36	0.00	–	0.66	–
5-min wait (observed)	7.00	0.36	+15.2%	0.62	≈2.78M
5-min wait + $0.10 incentive	7.10	0.26	+8–10% (target after incentive)	≈0.64 (target after UX fix)	≈3.85M

Appendix D: Verification of the figure of $1.6 million mentioned (by product manager Rahematpura, doing back-of-the-envelope calculations, page 14, last paragraph of the text)

Cost Savings Estimate

$0.24 savings per trip

Assume 6 cities × 160 minutes × 6 switchback periods/day × 21 days

If each switchback period yields ~1,000 trips (conservative),

that's:

6 cities × 6 periods/day × 21 days × 1,000 trips = 756,000 trips

756,000 × $0.24 = $181,440 in savings over 3 weeks

Annualized or scaled, this aligns with the $1.6 million estimate mentioned in the case

So Rahematpura likely meant:
"If we wait for the freeze, we forgo about $180K this month, which scales to over $1.6M in a year."

Our interpretation:

In strict 21-day terms, the number is closer to **$181K**, which is much smaller than $1.6M. But when framed as an *annualized lost savings opportunity*, the $1.6M claim becomes reasonable. This difference highlights how product managers often inflate "costs of waiting" by extrapolating short-term savings across a longer horizon which may not account for seasonal demand, market differences, or adoption curves.

Reference

Farronato, C., MacCormack, A., & Mehta, S. (2023, rev.). Innovation at Uber: The Launch of Express POOL (HBS Case No. 9-619-003). Harvard Business School Publishing.

MBA 645 course team. (n.d.). MBA645 — Uber t-test results [Unpublished course handout].

MBA 645 course team. (n.d.). MBA645 — Discussion points for Uber case [Unpublished course handout].